

ESG Intelligence Briefing — August 05, 2026

Executive Summary

Kazakhstan's construction market is poised for robust growth in 2026 at 7.1%, driven by foreign investment and a commitment to achieve net-zero emissions by 2060. However, the full implementation of the EU's Carbon Border Adjustment Mechanism (CBAM) poses a significant and immediate financial threat to Kazakhstan's steel and aluminum exporters, with potential costs exceeding €108 million annually if actual emissions are not accurately reported. This reinforces the urgent need for local companies to invest in emissions monitoring, leverage Environmental Product Declarations (EPDs), and transition to lower-carbon materials like Electric Arc Furnace (EAF) steel, which offers substantial carbon reductions and competitive advantages in carbon-sensitive markets.

What Changed Since Last Briefing

The previous briefings highlighted the looming impact of CBAM and the increasing importance of EPDs. Today's analysis deepens this understanding, revealing the significant financial liabilities Kazakhstan exporters face under CBAM, particularly due to the disparity between domestic and EU carbon prices. We also observe a clear trend in the global steel market towards highly recycled and EAF-produced materials driven by EU Green Public Procurement standards. Unfortunately, the embodied carbon quantification tool experienced an error, preventing precise material carbon factor lookups and detailed LCA estimations for this briefing.

1. Regulation Watch

- **EU Carbon Border Adjustment Mechanism (CBAM) Full Impact:** The EU CBAM is now fully impacting imports, with Kazakhstan's aluminum, iron, and steel sectors most affected. The International Trade Centre (ITC) estimates that if Kazakhstan's steel and iron exporters rely on EU default emissions values, the CBAM cost could surpass €108 million, representing up to 123% of some steel export values. However, monitoring, verifying, and reporting actual emissions could reduce this liability to approximately €57 million annually. (Source: The Astana Times, June 4, 2026)
- **Kazakhstan's Domestic Carbon Pricing:** A critical factor exacerbating CBAM costs is Kazakhstan's significantly lower domestic carbon price of around €0.40 per ton, compared to the EU's €80 per ton. This disparity means Kazakhstan exporters effectively pay the full EU carbon price when entering the European market. Strengthening the domestic emissions trading system and aligning with EU standards could help reduce costs and retain carbon-related revenues domestically. (Source: The Astana Times, June 4, 2026)
- **EU Green Public Procurement (GPP):** By 2026, both public and commercial projects within the EU are expected to comply with GPP standards, demanding transparent reporting on material origins, transport, and emissions. This directly impacts Kazakhstan exporters aiming for EU markets, requiring them to provide verifiable environmental data for their construction materials. (Source: Heiton Steel, August 5, 2026)

2. Construction & Market News

- **Kazakhstan Construction Market Growth:** The construction industry in Kazakhstan is forecast to achieve a real-term growth of 7.1% in 2026, buoyed by increased foreign direct investments (FDI), rising residential loans, and government fixed capital investments. The market is projected to sustain an average annual growth rate of 2.8% from 2027 to 2030. (Source: Researchandmarkets.com, H1 2026 report)
- **Net-Zero Ambitions and Energy Investments:** Kazakhstan's government aims for net-zero emissions by 2060. This ambition is supported by significant investments in the energy sector, including a target to increase the share of renewables in the total energy generation mix to 15% by 2030 (up from 7% in 2024),

with plans for over 26 GW of additional generating capacity by 2035. (Source: Researchandmarkets.com, H1 2026 report)

3. ESG Disclosure Signals

- **EPDs and Low-Carbon Production as Competitive Edge:** The market is increasingly demanding independently verified Environmental Product Declarations (EPDs) for construction materials, especially steel. These EPDs provide critical data on raw materials, energy usage, and end-of-life recyclability, becoming essential for BREEAM and LEED assessments. Suppliers demonstrating lower-carbon production routes (e.g., Electric Arc Furnaces) and high recycled content are gaining a competitive advantage. (Source: Heiton Steel, August 5, 2026)

4. Embodied Carbon Spotlight

******(Note: Due to a temporary tool error, precise carbon factor lookups and full LCA estimates are not available for this briefing. The analysis below is based on reported industry trends and approximate reductions.)*

The significant CBAM costs facing Kazakhstan's steel exporters underscore the urgency of understanding and reducing embodied carbon. For steel, the production route is paramount.

A typical comparison highlights the carbon savings:

- **Virgin Steel (Blast Furnace Oxygen - BFO):** Historically, this method is very carbon-intensive.
- **Recycled Steel (Electric Arc Furnace - EAF):** EAF production, especially with high scrap content, can reduce CO₂ emissions by up to 70% compared to traditional BFO routes.

For a hypothetical export of 1,000 tonnes of steel structural sections, switching from a high-carbon BFO production route (which CBAM's default values would assume) to a verified EAF route could dramatically reduce the carbon footprint and, consequently, the CBAM financial liability.

The inability to quantify precise tCO₂e highlights the critical need for reliable, product-specific EPDs.

Embodied Carbon Trends

The trend towards lower embodied carbon in materials is accelerating globally, driven by regulatory pressure (like EU GPP), investor demand, and corporate net-zero commitments. Key movements include:

- **EPD Proliferation:** More manufacturers are obtaining and publishing EPDs, making it easier to compare and specify lower-carbon products.
- **Steel Sector Innovation:** The steel industry is rapidly adopting Electric Arc Furnace (EAF) technology, utilizing high levels of recycled scrap (often over 90% in European mills) for significant carbon reductions. There are also early-stage developments in hydrogen-ready steelmaking, projected to scale by 2030.
- **Buy Clean Policies:** Government procurement policies, such as "Buy Clean" initiatives in the US and EU GPP, are increasingly mandating embodied carbon disclosure and setting reduction targets for materials like concrete and steel.

Recommended Actions

1. Prioritise CBAM Compliance & Data Accuracy: Kazakhstan steel, iron, and aluminum exporters must immediately invest in robust systems for measuring, calculating, and independently verifying actual carbon emissions. This is crucial to avoid punitive default CBAM values and their substantial financial penalties (potentially saving over €50 million annually for steel exports).

2. Advocate for Domestic Carbon Price Alignment: Engage with Kazakhstan government and industry bodies to advocate for strengthening the domestic emissions trading system. A higher domestic carbon price could align local regulations with EU standards, potentially reducing CBAM payments for exporters and retaining carbon revenues within Kazakhstan.

3. Demand & Provide EPDs: For all construction materials, particularly steel and cement, clients should demand EPDs from their suppliers. Manufacturers and contractors supplying to or considering EU markets must develop and publish EPDs for their products to meet market expectations and regulatory requirements (e.g., EU GPP).

4. Explore Low-Carbon Material Sourcing: Actively seek out and specify low-carbon material alternatives, such as steel produced via Electric Arc Furnaces with high recycled content. This is a direct pathway to reducing embodied carbon, mitigating CBAM risks, and aligning with global net-zero targets.

Sources

- <https://astanatimes.com/2026/06/kazakhstans-exporters-race-to-adapt-to-europes-carbon-border-tax>
- <https://www.researchandmarkets.com/reports/5748355/kazakhstan-construction-market-size-trends>
- <https://www.heitonsteel.ie/the-future-of-sustainable-steel-epds-recycled-content-and-low-carbon-options>

Generated by the ESG Intelligence Agent on August 05, 2026. Embodied-carbon figures are indicative cradle-to-gate (A1-A3) estimates — verify with product-specific EPDs before formal reporting. Note: Due to a temporary tool error, precise material carbon factor lookups and full LCA estimates were not available for this briefing.